

Best out of Waste



Antony Waste Handling Cell Ltd(AWHCL) is amongst few organised private players in Municipal Solid Waste Management with more than 2 decades of experience.AWHCL is 2nd largest private player with a market share >10% with 20 on-going projects across 9 states with average contract duration being 7.7 years.AWHCL operates in a highly entry barrier industry requiring perfect blend of manpower skill set,capital & execution capabilities.

Investment Argument:

- Value Migration from Municipal Corporations to Private players**
Traditionally municipal solid waste was collected & transported by local municipal corporations. Over the years corporations have opened this space for private players who are better off in managing these resources.
Eg : The city of Mumbai is divided into 24 wards of which 4 wards have been privatised for collection & transportation of municipal solid waste.Currently out of the 4 privatised wards 2 wards are being managed by AWHCL.We believe this value migration from corporation to private players in certain & gradual process over the years & will remain a significant tailwind for the industry.
- Revenue to grow at 25% CAGR with sustained EBITDA Margin of 24-25%**
Company has recorded healthy Revenue/EBITDA/PAT/CFO CAGR of 31%/25%/43%/41% between FY19-22 respectively. We expect revenue to grow at CAGR of 25% & sustained EBITDA margin at 24-25% over next 2-3 years.Company is well poised to capture organic as well as inorganic opportunities with order wins in Nashik,Jhansi,New Delhi,Pimpri Chinchwad,Noida etc
- Revenue visibility backed by Long term agreements**
Municipal Solid waste contracts are long term in nature with average duration for collection & transportation in the range of 7-10 years (incase of AWHCL average on-going contract duration is 7.7 years with 14 on-going projects) whereas municipal solid waste processing have average duration of 20-25 years (incase of AWHCL average on-going contract duration is 23 years with 3 on-going projects).Revenue in these contracts is linked to tonnage with escalation clause based on WPI inflation taking care of inflation as well.
- India's Waste Management Industry to have enormous growth potential**
Currently municipal solid waste management(MSWM) industry for private players is ~Rs.65 Bn which is expected to touch Rs.98 Bn by FY25 growing at CAGR of 14.4%whereas waste generation is expected to grow from 89Mn TPA to 115Mn TPA at CAGR of 8.9%.Currently

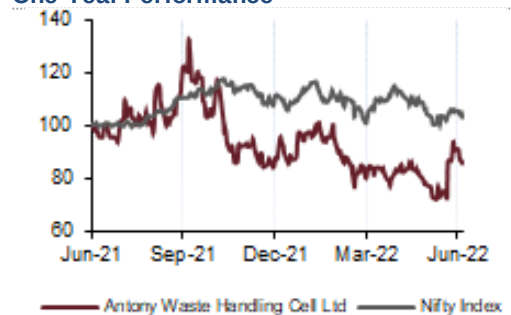
Rating	TP (Rs)	Up/Dn (%)
BUY	394	39

Market data

Current price	Rs	283
Market Cap (Rs.Bn)	(Rs Bn)	8
Market Cap (US\$ Mn)	(US\$ Mn)	105
Face Value	Rs	5
52 Weeks High/Low	Rs	455.15 / 234
Average Daily Volume	('000)	79
BSE Code		543254
Bloomberg		AWHCL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	46.23	46.23
Public	53.77	53.77
Total	100	100

Source: Bloomberg

Key Risk:

- Delay in payment by Corporations
- Penalties on account of breach of contract conditions
- Lack of new contract wins
- Labour unions

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~Rs.800 Bn MSWM market has not been privatised & still managed by local corporations.

- **Organic as well as inorganic growth opportunities to significantly aid revenue**

Organically company has ability to grow in the range of 5-6% mainly driven by escalation clause & normal volume growth. However, there are significant inorganic opportunities from new contract wins

Eg : Recent contract awarded by Nashik City Municipal Corporation to handle ~240T per day for a period of 5 years

On blended basis we expect company to grow at 25% CAGR for next 2-3 years

- **Newer ancillary opportunities to widen market**

Along with municipal solid waste management there are significant ancillary opportunities which are untapped like **waste to energy** with assured raw material and signed power offtake agreements, **selling recyclables and RDF** as an added source of revenue & **Bio mining** which can be used to reclaim dump sites in Tier 1 & Tier 2 cities which has huge potential w.r.t number of dump sites over last 15 years

- **Increased budget allocation towards solid waste management**

There has been strong government impetus to overall hygiene & waste management on account of Swachh Bharat Abhiyan. Also the budget allocation towards solid waste has been increased from 21% of overall spends in FY16 to 46% of overall spends in FY21 (Source : MCGM 2020-21)

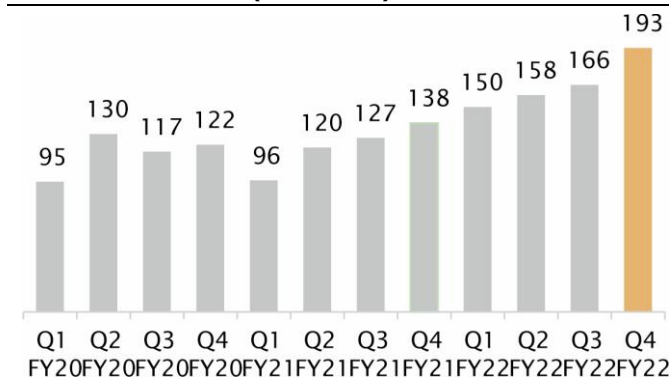
- **Prudent Capital allocation & working capital management**

AWHCL has a net debt to equity ratio of 0.3x with average RoCE in the range of 18-19% & RoE in the range of 15-17% in highly capital intensive business. Prudent capital allocation has helped generate sustainable RoCEs & RoEs along with debtor days in the range of 70-75 days which is extremely good for any government related payments. Debtor days are lower as waste management is essential service which has to be provided on realtime basis. Billing is done on monthly basis & realised on 70-75th day. Company's CFO/EBITDA stands at 80%+ indicating strong cash conversion at operational level.

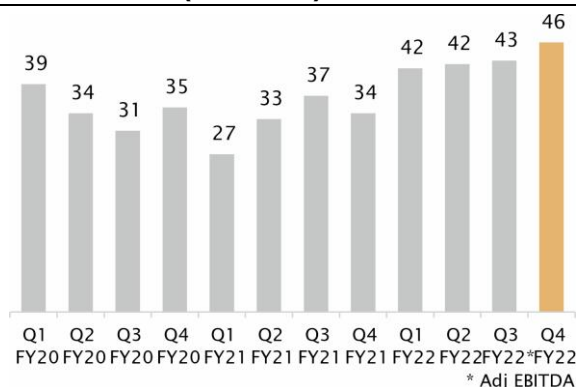
- **Focused Strategy**

AWHCL follows a cluster based approach for growth with rational selection of projects for expansion. After 2016 company saw a major turnaround when management decided to

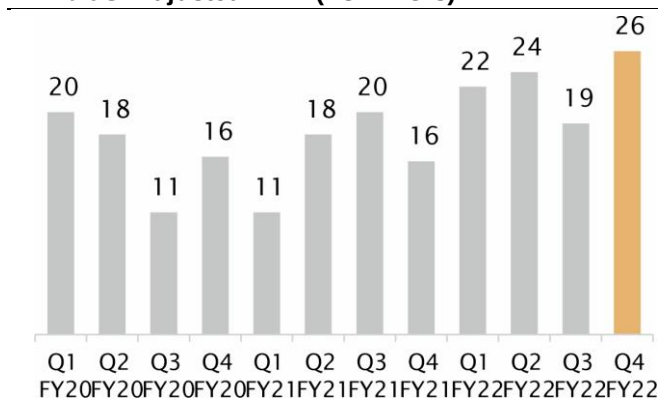
- a. Focus on municipal corporations with strong financials/ credit ratings
- b. Rational bidding after background research
- c. Focus on contracts with pass-through escalations for major costs
- d. Focus on limited projects with high tonnage to save management bandwidth
- e. Reduce counter-party credit risk through user fee collection from designated persons in NOIDA project
- f. Staggered revenue stream to diversify projects across timelines

Exhibit 1: Revenue (Rs. in Crs)

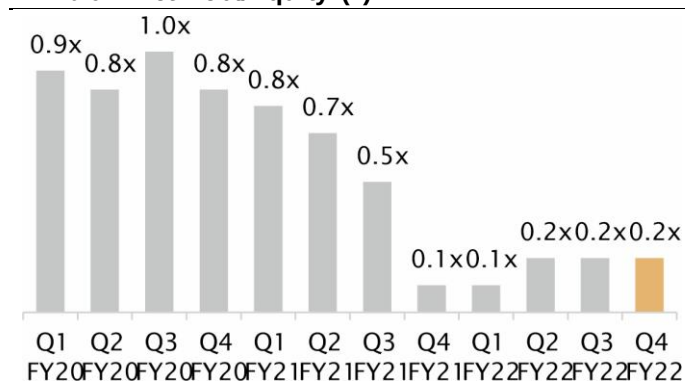
Source: Company, Dalal & Broacha Research

Exhibit 2: EBITDA (Rs. in Crs)

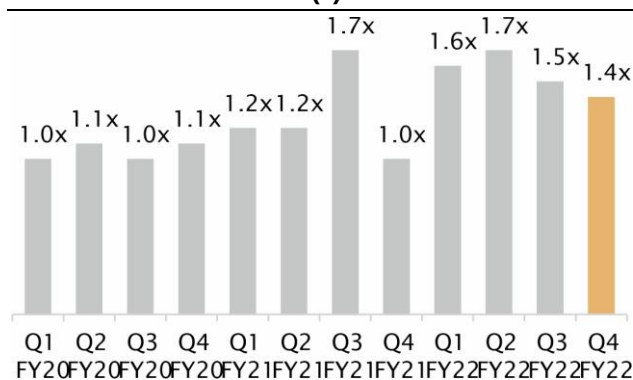
Source: Company, Dalal & Broacha Research

Exhibit 3: Adjusted PAT (Rs. in Crs)

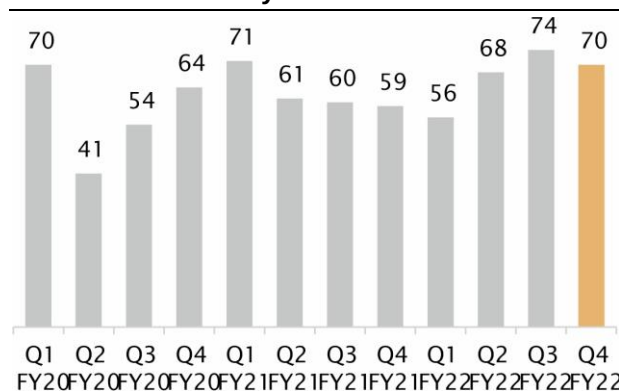
Source: Company, Dalal & Broacha Research

Exhibit 4: Net Debt/Equity (x)

Source: Company, Dalal & Broacha Research

Exhibit 5: Current Ratio (x)

Source: Company, Dalal & Broacha Research

Exhibit 6: Debtor Days

Source: Company, Dalal & Broacha Research

Did you know?

AWHCL operates one of the largest single location waste processing plants site in Asia which processes ~60% Of waste generated in Mumbai at Kanjurmarg site whose average contract duration is ~15 years

Financial Summary

Y/E Mar (Rs.Mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Revenue	2,837	4,505	4,651	6,484	8,105	10,131
EBITDA	762	1,256	1,146	1,481	2,026	2,634
Margins (%)	27%	28%	25%	23%	25%	26%
PAT (Adj)	274	274	450	679	811	1,114
Growth (%)		0%	64%	51%	19%	38%
EPS	9.7	9.7	15.9	24.0	28.7	39.4
P/E (x)	30	30	18	12	10	7

Source : Dalal & Broacha

Valuation & Outlook

AWHCL is a proxy listed play in overall waste management space in India. With superior financials & operating metrics we believe AWHCL is fully poised to unlock the potential of municipal solid waste management in India. At CMP of Rs.283 company trades at a PE multiple of 7x based on FY24E earnings. We value the company at 10x based on FY24E EPS of Rs.39.4 deriving a price target of Rs.394 which is significantly lower compared to global peers which trade at a median PE of 25x

About the Company:

The company was incorporated as "Antony Waste Handling Cell Private Limited", on January 17, 2001.

Jose Jacob Kallarakal is the Promoter, Chairman and Managing Director of the company. He is majorly responsible for the business development initiatives for the company. As one of the founders of the company, he has been associated with the company since its inception. He has 19 years of experience in the field of waste management.

Shiju Jacob Kallarakal is the Promoter, Executive Director and the Chief Financial Officer of the company. He overlooks the accounting and finance along with the legal functions of the company. As one of the founders of the company, he has been associated with the company since its inception. He has 19 years of experience in the field of waste management.

Ajit Kumar Jain, Suneet K Maheshwari and Priya Balasubramanian are the Independent Director of the company.

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